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BRRRR Deal Checklist

18 Points Before You Make an Offer

Use this checklist before making any BRRRR offer. Every box should be checked — or you should have a written reason why it doesn't apply.

SECTION 01 ACQUISITION

- [ ] **ARV verified against ≥ 3 closed comps**
  Within 90 days, 0.5 miles, similar sq ft (±15%)
- [ ] **Worst-case ARV calculated**
  Model ARV at 10% below estimate — does the deal still work?
- [ ] **Max Allowable Offer calculated**
  (ARV × 0.70) – Estimated Rehab Costs = your ceiling
- [ ] **Title search initiated**
  No liens, tax issues, or ownership disputes before deep-dive
- [ ] **Comparable rent data pulled**
  Active listings AND recently rented — not just Zillow estimates

SECTION 02 REHAB ANALYSIS

- [ ] **Itemized rehab scope confirmed**
  Line items: electrical, HVAC, plumbing, roof, finishes, permits, landscaping
- [ ] **20% contingency added**
  Mandatory — not optional. Walls open and surprises happen.
- [ ] **Contractor quote or estimate secured**
  If you haven't seen the property, you're guessing
- [ ] **Rehab timeline + holding costs estimated**
  Taxes + insurance + utilities + loan interest × months

SECTION 03 RENTAL ANALYSIS

- [ ] **Monthly rent verified**
  Confirmed by 3+ active comparable listings, not Rentometer alone
- [ ] **Vacancy rate factored in**
  Use 8–10% minimum (1 month/year). Higher in slow markets.
- [ ] **All operating expenses listed**
  Property mgmt (8–10%), maintenance reserve (5–10%), insurance, taxes
- [ ] **Net Operating Income (NOI) calculated**
  Gross Rent × (1 – Vacancy) – Operating Expenses

SECTION 04 REFINANCE ANALYSIS

- [ ] **Refinance loan amount at current rates**
  ARV × 0.70–0.75 at today's DSCR rate — not 2021 rates
- [ ] **Post-refi monthly payment calculated**
  Use actual lender rate — confirm with a DSCR lender directly
- [ ] **Capital remaining in deal calculated**
  Refi Proceeds – Total Cash Invested. Negative = infinite return.

SECTION 05 GO / NO-GO

- [ ] **Worst-case scenario modeled**
  ARV –10%, rehab +20%, rent –10%. Does the deal survive all three?
- [ ] **Cash-on-cash return ≥ 8% in realistic scenario**
  Below 8% on paper = below 5% in reality. Walk away.

QUICK-REFERENCE FORMULAS

Max Allowable Offer
(ARV × 0.70) – Rehab Budget

Net Operating Income
(Monthly Rent × 12 × Occupancy) – Annual Expenses

Cash-on-Cash Return
Annual Cash Flow ÷ Total Cash Invested × 100

Cap Rate
NOI ÷ Purchase Price × 100

Max Refi Loan
ARV × LTV (typically 0.70–0.75 for DSCR)

Holding Cost/Month
Taxes + Insurance + Utilities + Loan Interest

Want the calculator to do all of this?
BRRRR Strategy Calculator — $19
myclearbudget.com/brrrr